

NATIONAL AERONAUTICS AND SPACE ADMINISTRATION
INFORMATION TECHNOLOGY PROCUREMENT OFFICE (ITPO)
Justification for an Exception to Fair Opportunity
Agency-Wide Microsoft 35 Government 5 Renewal

1. Nature and/or description of the action being approved (FAR 16.507-6(d)(2)(ii):

This justification documents the basis for exercising an option under a Solutions for Enterprise-Wide Procurement (SEWP) V Delivery Order (DO) (NNG15SD34B/80TECH25FA228) with Minburn Technolgy using an exception to the Fair Opportunity process.

2. Description of the supplies or services required to meet the agency's needs (including the estimated value) (FAR 16.507-6(d)(2)(iii)):

- This action is a firm-fixed price option exercise under DO 80TECH25FA228 for the agency's Microsoft 365 Government 5 (G5) renewal.
- The total estimated price of the option is [REDACTED]
- The estimated period of performance is May 01, 2026 through April 30, 2027.

3. Identification of Exception to Fair Opportunity (FAR 16.507-6(d)(2)(iv)):

- ☐ FAR 16.507(b)(1): The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays.
- ☒ FAR 16.507(b)(2): Only one awardee is capable of providing the supplies or services at the level of quality required because the supplies or services ordered are unique or highly specialized.
- ☐ FAR 16.507(b)(3): The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.
- ☐ FAR 16.507(b)(4): It is necessary to place an order to satisfy a minimum guarantee.
- ☐ FAR 16.507(b)(5): For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source.
- ☐ FAR 16.507(b)(6): The order satisfies one of the exceptions permitting the use of other than full and open competition listed in 6.103 (10 U.S.C. 3406(c)(5)). **Note:** The public interest exception must not be used unless Congress is notified in accordance with 10 U.S.C. 3204(a)(7).

Supporting Rationale:

Minburn currently provides NASA's Microsoft 365 G5 ELA under DO 80TECH25FA228, which covers a three-year licensing period. At the time of award, the option years were not included in the Fair Opportunity Exception ceiling. As a result, Minburn is the only Microsoft provider able to offer option period one (year two) of the existing three-year M365 G5 ELA, ensuring continuity with the current agreement. Continued licensing of Microsoft 365 G5 is essential to maintaining enterprise-wide productivity, collaboration, cybersecurity, and compliance capabilities across NASA. Microsoft 365 G5 ELA delivers mission-critical services—including Exchange Online, Teams, SharePoint, Azure Active Directory, Microsoft Defender, and advanced security and compliance features—that are fully integrated into NASA's enterprise IT environment. The current licenses will expire on April 30, 2026, and the requirement is non-severable. Failure to renew prior to expiration would result in immediate disruption to email, collaboration tools, identity authentication, endpoint protection, and cybersecurity monitoring, posing significant operational and security risks. The previous justification did not anticipate the need to exercise this option period or include its estimated value, further reinforcing the necessity of renewing the existing agreement with Minburn to avoid any lapse in critical services.

Breaking the existing Microsoft 365 G5 ELA would result in substantial financial impacts, including the loss of negotiated enterprise-level discounts that typically range from 10–25% based on market analysis of federal and commercial Microsoft ELA pricing. Terminating an ELA mid-cycle also introduces exponential cost increases due to early termination penalties, the need to repurchase licenses at non-ELA rates, and the loss of multi-year pricing protections. Beyond the financial burden, conducting a separate competition for this short-term requirement is neither feasible nor reasonable given the limited period of performance and the complexity of migrating more than 45,000 licensed users from an established Microsoft 365 G5 ELA environment.

NASA relies on the Minburn M365 G5 ELA to sustain Agency-wide operational capability, with approximately 95% of NASA personnel depending on Microsoft products for daily work. This licensing supports mission-critical programs such as the International Space Station (ISS) and Artemis II, enabling user devices and mission support servers that facilitate continuous coordination between mission crews, engineering teams, and operations personnel across NASA centers and ground facilities. Microsoft technologies are deeply embedded across NASA's enterprise IT architecture and form the backbone of the Agency's collaboration, productivity, identity, and security environments, supporting thousands of interconnected systems. Because these capabilities are fully integrated into daily mission operations, any loss or disruption would impair essential communication and collaboration, hinder coordination with ground support personnel, and risk delays or work stoppages that could affect mission readiness.

Transitioning to an alternative platform would require extensive system reconfiguration, application redevelopment, infrastructure changes, data migration, and workforce retraining. NASA's enterprise ecosystem relies on thousands of interconnected systems that depend on Microsoft services for collaboration, authentication, and cybersecurity. Attempting such a transition within the available timeframe would introduce significant operational risk, technical disruption, and reinvestment costs, making any alternative solution impractical and cost prohibitive.

Microsoft solutions meet stringent federal cybersecurity and compliance requirements, including FISMA, FedRAMP High, and NIST SP 800-53, and provide continuous security patching and vulnerability management to maintain alignment with CISA directives and NASA cybersecurity policies. These protections are essential to safeguarding NASA's sensitive data and ensuring the integrity of mission-critical systems. Losing access to the existing Microsoft environment would create significant operational and cybersecurity risks, including degraded identity and access management, reduced interoperability across NASA systems, and potential downtime or vulnerabilities if compliant platforms were unavailable. Such a disruption would also impair collaboration with other federal agencies, contractors, and industry partners who rely on Microsoft-based platforms, further affecting mission execution and overall readiness.

Issuance of option period one under the current Minburn M365 ELA will ensure continuity of enterprise IT services while NASA completes evaluation of proposals, makes a source selection decision, and awards the new Microsoft 365 G5 Enterprise Licensing Agreement. This action represents the only practical approach to maintain operational continuity and mission readiness until the competitive follow-on procurement is completed.

4. Determination that the anticipated cost to the Government will be fair and reasonable (FAR 16.507-6(d)(2)(v)):

The Contracting Officer's signature on this justification indicates that the anticipated price will be fair and reasonable. Pricing for Microsoft 365 G5 ELA was previously evaluated and determined to be fair and reasonable under the existing DO 80TECH25FA228.

The proposed pricing will also be compared directly with the Government's current pricing for DO 80TECH25FA228 Microsoft 365 G5 ELA option period one licenses to verify consistency with previously negotiated rates. Because this action represents continuation of the same services and licensing structure, comparison with current contract pricing provides a reliable basis for determining price reasonableness.

5. Other Facts supporting the justification (FAR 16.507-6(d)(2)(vi)):

Market research included review of existing Microsoft enterprise licensing agreements, available Government contract vehicles, and the capabilities of authorized Microsoft resellers that provide licensing solutions to federal agencies. This research confirmed that Microsoft 365 G5 enterprise licenses are available through authorized Microsoft partners and resellers capable of providing the required licensing products.

The Government also evaluated the feasibility of transitioning to alternative enterprise productivity and collaboration platforms. Due to the extensive cost increase and the proposed issues relating to the integration of Microsoft services across NASA's IT infrastructure, the size of the Agency's Microsoft user base, and the significant technical effort required to migrate systems and users to a different platform, transitioning to an alternative solution within the required timeframe is not feasible.

Based on this research, maintaining the existing DO 80TECH25FA228 Microsoft ELA environment for option period one represents the only practical approach to ensure uninterrupted

enterprise IT services while NASA completes the ongoing competitive procurement for a new Agency-wide Microsoft Blanket Purchase Agreement.

6. A statement of the actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made (FAR 16.507-6(d)(2)(vii):

The CO will continue to examine the market in the future for alternative solutions or new sources before executing any subsequent acquisitions for the same requirements. This requirement will be procured under the competitive Microsoft Blanket Purchase Agreement after it has been awarded.